

PART-A

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Signature of the Invigilator: Gourav K. Achary

INSTRUCTIONS

1. Check that you have **10 printed pages**. The PART-A of the examination has **3 questions**, for a total of **20 points**.
2. Attempt **all questions**.
3. There is **no credit** for a solution if the appropriate work is not shown, even if the answer is correct.
4. Write your answers in this booklet and only in the **space marked for answers**. Any answer written in any space other than the designated space will **not be evaluated**.
5. The pages numbered **8 to 10** are kept as **additional pages**. If you cannot able to fit a complete answer in the space provided just after the question, you can use these three pages by referring the page number of additional page in the original space.
6. At the beginning of the examination, a supplementary sheet has been provided only for rough work. Should you need more, please ask the invigilator.
7. No question requires any clarification from the instructors or invigilators, even if a question has an error or incomplete data. The students are advised to write answer according to their understanding or write reasons for why it is not possible to solve partially or completely that question by citing errors/insufficient data.

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Question:	1	2	3	Total
Points:	5	6	9	20
Score:	5	6	8	19

QUESTIONS

1. (5 points) Let Y and ϵ are the response variable and the error in a regression problem, respectively. θ_1 and θ_2 are the two parameters. Let $y_i, i = 1, 2, 3$, be the observed values of the response variable. Consider,

$$Y_1 = \theta_1 + \theta_2 + \epsilon_1,$$

$$Y_2 = \theta_1 - 2\theta_2 + \epsilon_2,$$

$$Y_3 = 2\theta_1 - \theta_2 + \epsilon_3,$$

where $E(\epsilon_i) = 0$, and $V(\epsilon_i) = \sigma^2, i = 1, 2, 3; \sigma > 0$. Find the least square estimates (LSE) of θ_1 and θ_2 .

Suppose LSE of θ_1 and θ_2 are $\hat{\theta}_1$ and $\hat{\theta}_2$.

$$L = \sum_{i=1}^3 (Y_i - \hat{\theta}_1 - \hat{\theta}_2)^2 + (Y_2 - \hat{\theta}_1 + 2\hat{\theta}_2)^2 + (Y_3 - 2\hat{\theta}_1 + \hat{\theta}_2)^2$$

Then $\hat{\theta}_1$ and $\hat{\theta}_2$ minimize L .

$$\frac{\partial L}{\partial \theta_1} = 2(Y_1 - \hat{\theta}_1 - \hat{\theta}_2)(-1) + 2(Y_2 - \hat{\theta}_1 + 2\hat{\theta}_2)(-1) + 2(Y_3 - 2\hat{\theta}_1 + \hat{\theta}_2)(-2) = 0$$

$$= -(2Y_1 + 2Y_2 + 2Y_3) + \hat{\theta}_1(2 + 2 + 8) + \hat{\theta}_2(-2 - 4 - 4)$$

$$= -(2Y_1 + 2Y_2 + 2Y_3) + 12\hat{\theta}_1 - 6\hat{\theta}_2 = 0$$

$$= -(Y_1 + Y_2 + Y_3) + \hat{\theta}_1(-1 - 1 - 2) + \hat{\theta}_2(-1 + 2 + 2)$$

$$\frac{\partial L}{\partial \theta_2} = 2(Y_1 - \hat{\theta}_1 - \hat{\theta}_2)(-1) + 2(Y_2 - \hat{\theta}_1 + 2\hat{\theta}_2)(2) + 2(Y_3 - 2\hat{\theta}_1 + \hat{\theta}_2)(1)$$

$$= -(2Y_1 + 2Y_2 + 2Y_3)$$

$$\frac{\partial L}{\partial \theta_1} = 2(Y_1 - \hat{\theta}_1 - \hat{\theta}_2)(-1) + 2(Y_2 - \hat{\theta}_1 + 2\hat{\theta}_2)(-1) + 2(Y_3 - 2\hat{\theta}_1 + \hat{\theta}_2)(-2) = 0$$

$$= (Y_1 + Y_2 + 2Y_3) + \hat{\theta}_1(-1 - 1 - 4) + \hat{\theta}_2(-1 + 2 + 2) = 0$$

$$= (Y_1 + Y_2 + 2Y_3) - 6\hat{\theta}_1 + 3\hat{\theta}_2 = 0$$

$$\hat{\theta}_1 = \frac{S_1}{S_2}$$

$$\frac{\partial L}{\partial \theta_2} = \lambda (Y_1 - \hat{\theta}_1 - \hat{\theta}_2)(-1) + \lambda (Y_2 - \hat{\theta}_1 + 2\hat{\theta}_2)(2) + \lambda (Y_3 - 2\hat{\theta}_1 + \hat{\theta}_2)(1) = 0$$

$$\Rightarrow (Y_1 + 2Y_2 + Y_3) + \hat{\theta}_1 (-1 - 2 - 2) + \hat{\theta}_2 (1 + 4 + 1) = 0$$

$$\Rightarrow (Y_1 + 2Y_2 + Y_3) - 3\hat{\theta}_1 + 6\hat{\theta}_2 = 0$$

$$\Rightarrow 2(Y_1 + 2Y_2 + Y_3) - 6\hat{\theta}_1 + 12\hat{\theta}_2 = 0$$

$$(Y_1 + Y_2 + 2Y_3) - 3\hat{\theta}_1 + 6\hat{\theta}_2 = 0 \Rightarrow Y_1 + Y_2 + 2Y_3 - 3\hat{\theta}_1 + 6\hat{\theta}_2 = 0$$

$$Y_1 + 3Y_2 + 9\hat{\theta}_2 = 0$$

$$\hat{\theta}_2 = \frac{(Y_1 + 3Y_2)}{9}$$

$$-3Y_1 + 3Y_2 + 9\hat{\theta}_2 = 0$$

$$\hat{\theta}_2 = \frac{Y_1 - Y_2}{3}$$

$$6\hat{\theta}_1 = \frac{6}{9}(Y_1 + 3Y_2) + (Y_1 + Y_2 + 2Y_3)$$

$$6\hat{\theta}_1 = (Y_1 + Y_2 + 2Y_3) + \frac{(Y_1 + 3Y_2)}{3} \Rightarrow 6\hat{\theta}_1 = Y_1 + Y_2 + 2Y_3 + \frac{Y_1 + 3Y_2}{3}$$

$$= 2(Y_1 + Y_3)$$

$$\hat{\theta}_1 = \frac{2}{6}Y_1 + \frac{2}{6}Y_3$$

$$\hat{\theta}_1 = \frac{1}{3}Y_1 + \frac{1}{3}Y_3$$

$$\hat{\theta}_1 = \frac{Y_1 + Y_3}{3}$$

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2. Let U_1 and U_2 be two independent uniform random variables on the interval $(0, 1)$. Suppose that $\mathbf{X} = (X_1, X_2, X_3)'$, where $X_1 = U_1$, $X_2 = U_2$, and $X_3 = U_1 + U_2$.

(a) (3 points) Compute the correlation matrix ρ of $\mathbf{X}$.

(b) (3 points) Find the variance of first principal component based on the correlation matrix that you find in part (a).

~~Cov~~ ~~$U_1 = U_2$~~

$$\text{Cov}(X_1, X_3) = \text{Cov}(X_1, X_1 + X_2) = \text{Cov}(U_1, U_1 + U_2) = \text{Cov}(U_1, U_1) + \text{Cov}(U_1, U_2)$$

Since U_1 and U_2 are ind

$$= \text{Var}(U_1)$$

~~$= \frac{1}{12}$ (Since~~

$$= \frac{E(U_1^2) - (E(U_1))^2}{1} = E(U_1^2) - (E(U_1))^2$$

$$= \frac{1}{3} - \left(\frac{1}{2}\right)^2$$

$$= \frac{1}{3} - \frac{1}{4}$$

$$= \frac{1}{12}$$

$$\text{Var}(U_1) = \text{Var}(U_2) = \frac{1}{12}$$

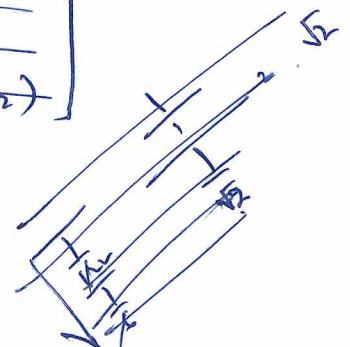
Similarly

$$\text{Cov}(X_2, X_3) = \frac{1}{12} = \text{Cov}(X_1, X_3)$$

$$\text{Cov}(\mathbf{X}, \mathbf{X}) = \begin{bmatrix} \text{Cov}(X_1, X_1) & \text{Cov}(X_1, X_2) & \text{Cov}(X_1, X_3) \\ \text{Cov}(X_2, X_1) & \text{Cov}(X_2, X_2) & \text{Cov}(X_2, X_3) \\ \text{Cov}(X_3, X_1) & \text{Cov}(X_3, X_2) & \text{Cov}(X_3, X_3) \end{bmatrix}$$

$$= \begin{bmatrix} \text{Var}(U_1) & 0 & 1/12 \\ 0 & \text{Var}(U_2) & 0 \\ 1/12 & 0 & \text{Var}(U_1) + \text{Var}(U_2) \end{bmatrix}$$

$$= \begin{bmatrix} 1/12 & 0 & 1/12 \\ 0 & 1/12 & 0 \\ 0 & 0 & 1/6 \end{bmatrix}$$



$$= \begin{bmatrix} 1/2 & 0 & 1/2 \\ 0 & 1/2 & 1/2 \\ 1/2 & 1/2 & 2/2 \end{bmatrix}$$

Using:

$$\begin{aligned} \text{Cov}(U_1 + U_2, U_1 + U_2) &= \text{Cov}(U_1, U_1) + \cancel{\text{Cov}(U_1, U_2)} + \cancel{\text{Cov}(U_2, U_1)} \\ &\quad + \text{Cov}(U_2, U_2) \\ &= 2/2 \end{aligned}$$

$$\text{Corr}(A, B) = \frac{\text{Cov}(A, B)}{\sqrt{\text{Var}(A) \text{Var}(B)}}$$

$$\text{Corr}(X, X) = \frac{1/2}{\sqrt{1/2 \cdot 1/2}} = 1$$

$$\begin{aligned} \text{Var}(U_1 + U_2) &= \text{Var}(U_1) + \text{Var}(U_2) + 2\cancel{\text{Cov}(U_1, U_2)} \\ &= 1/2 + 1/2 \\ &= 1 \end{aligned}$$

$$\text{Corr}(X, X) = \begin{bmatrix} \frac{1/2}{\sqrt{(1/2)^2}} & 0 & \frac{1/2}{\sqrt{1/2 \cdot 1/6}} \\ 0 & \frac{1/2}{\sqrt{(1/2)^2}} & \frac{1/2}{\sqrt{1/2 \cdot 1/6}} \\ \frac{1/2}{\sqrt{1/2 \cdot 1/6}} & \frac{1/2}{\sqrt{1/2 \cdot 1/6}} & \frac{1/6}{\sqrt{1/6 \cdot 1/6}} \end{bmatrix}$$

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$$= \begin{bmatrix} 1 & 0 & \frac{1}{\sqrt{2}} \\ 0 & 1 & \frac{1}{\sqrt{2}} \\ \frac{1}{\sqrt{2}} & \frac{1}{\sqrt{2}} & 1 \end{bmatrix}$$

Rest part in
Page-8

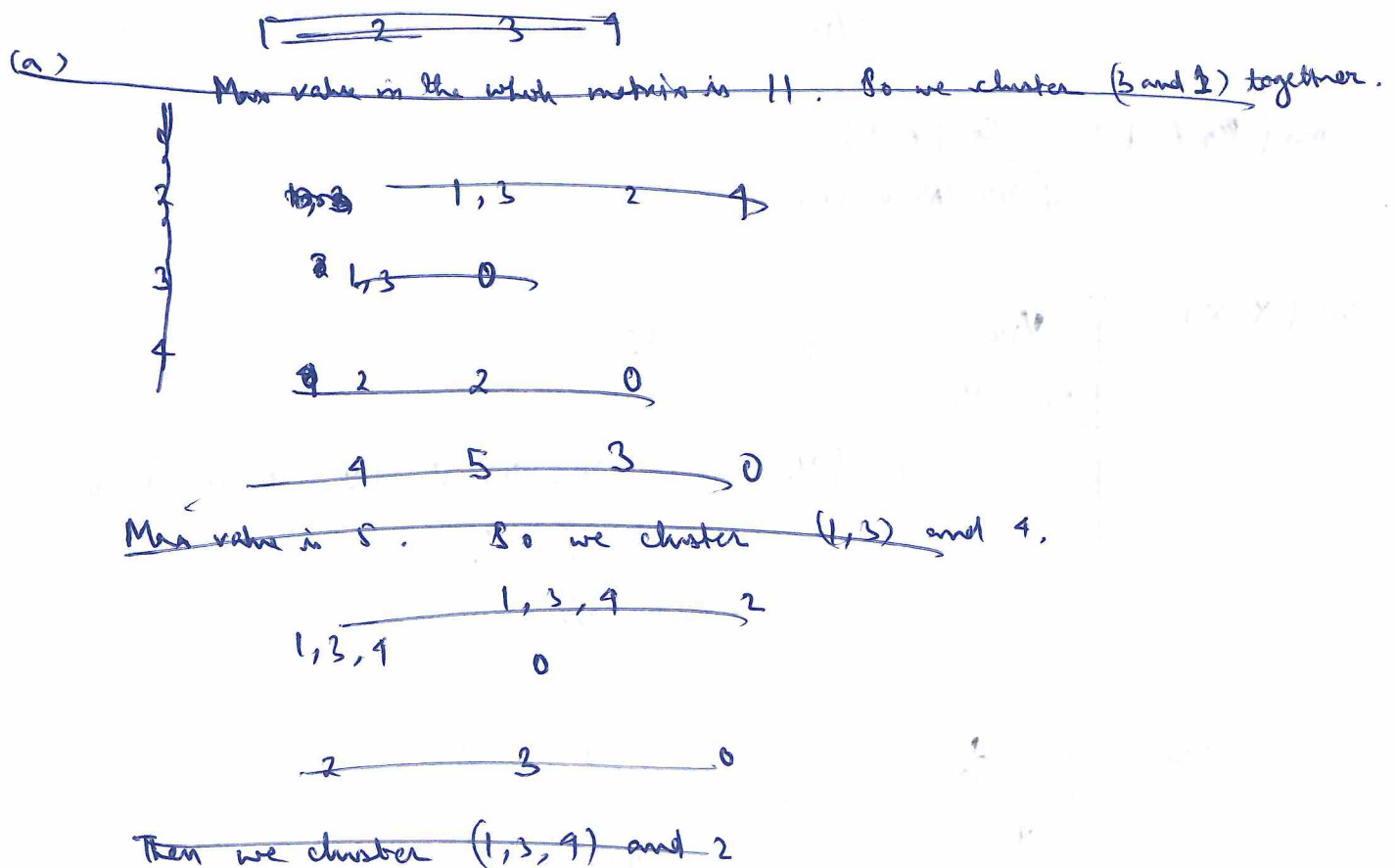
3. Let the matrix of distance be

	1	2	3	4
1	0			
2	1	0		
3	11	2	0	
4	5	3	3.5	0

(a) (6 points) Cluster the four items using each of the following procedures:

- Complete linkage hierarchical procedure. (Man)
- Average linkage hierarchical procedure. (Avg)

(b) (3 points) Draw the dendrograms and compare the results obtained using previous two procedures.



(b) Max value in 11. So we cluster

Ans. 1) (a) (i) The min. value is 1. So we join 1 and 2

	1, 2	3	4
1, 2	0		
3	11	0	
4	5	3.5	0

The min value is 3.5. So we join 3 and 4.

	1, 2, 3, 4
1, 2	0
3, 4	11

Next we join (1, 2) and (3, 4)

(ii) The min value is 1. So we join 1 and 2

	1, 2	3	4
1, 2	0		

3	$\frac{11+2}{2} = 6.5$	0
4	$\frac{5+3}{2} = 4$	3.5

The min value is 3.5. So we join 3 and 4.

~~1, 2~~ (1, 2) (3, 4)

(1, 2) 0

Next we join (1, 2) and (3, 4)

(3, 4) $\frac{11+5+2+3}{4} = 5.25$

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Ans. 2) The variance of the first principal component is given by λ_1 , where λ_1 is the biggest eigenvalue in case of correlation matrix.

$$\begin{bmatrix} 1 & 0 & \frac{1}{\sqrt{2}} \\ 0 & 1 & \frac{1}{\sqrt{2}} \\ \frac{1}{\sqrt{2}} & \frac{1}{\sqrt{2}} & 1 \end{bmatrix} \begin{bmatrix} e_1 \\ e_2 \\ e_3 \end{bmatrix} = \lambda \begin{bmatrix} e_1 \\ e_2 \\ e_3 \end{bmatrix}$$

~~$$e_1 + \frac{e_3}{\sqrt{2}} = \lambda e_1, \quad e_2 + \frac{e_3}{\sqrt{2}} = \lambda e_2, \quad \frac{e_1}{\sqrt{2}} + \frac{e_2}{\sqrt{2}} + e_3 = \lambda e_3$$~~

$$\Rightarrow \begin{vmatrix} 1-\lambda & 0 & 1/\sqrt{2} \\ 0 & 1-\lambda & 1/\sqrt{2} \\ 1/\sqrt{2} & 1/\sqrt{2} & 1-\lambda \end{vmatrix} = 0$$

$$\Rightarrow (1-\lambda) \left[(1-\lambda)^2 - \frac{1}{2} \right] + \frac{1}{\sqrt{2}} \left[- (1-\lambda) \frac{1}{\sqrt{2}} \right] = 0$$

$$\Rightarrow 1-\lambda=0 \quad \text{or} \quad (1-\lambda)^2 - \frac{1}{2} - \frac{1}{2} = 0$$

$$\Rightarrow \boxed{\lambda=1} \quad \text{or} \quad (1-\lambda)^2 = 1$$

$$1-\lambda=1 \quad \text{or} \quad 1-\lambda=-1$$

$$\boxed{\lambda=0}$$

or

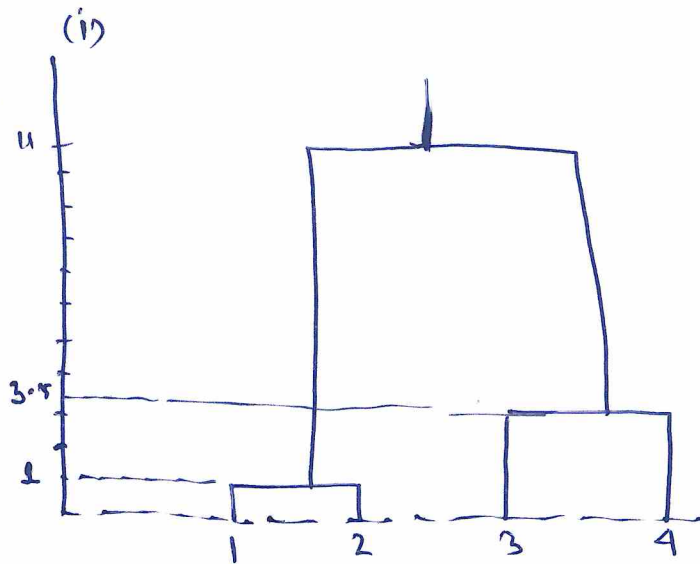
$$\boxed{\lambda=2}$$

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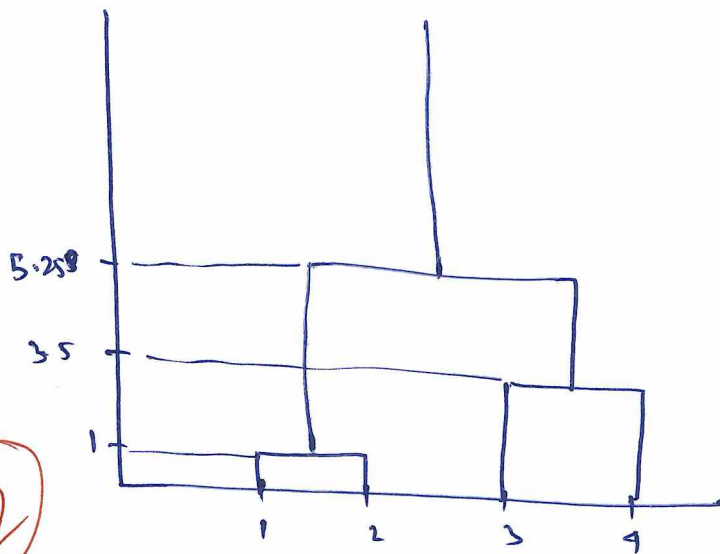
So the variance of the first principal component is 2.

(If we were taking standardized variables)

Ans. 3)



(ii)



02

Comments??

